

Meaning

Marketing management refers to management of all the activities related to market.

Marketing is a process whereby people exchange goods & services for money or for something of value to them.

* Features of Marketing

- 1) Need and want $\rightarrow$ The main motive of marketing is to satisfy the need and wants of consumer.
- 2) Creating Market offering $\rightarrow$ It means adding more features like size, quality, taste etc every type of customer need is satisfied through market offering.
- 3) customer value $\rightarrow$ Marketing adds customer value so that customer is ready to pay price. Why a customer choose your product at a competitive market. You must add value.
- 4) Exchange Mechanism $\rightarrow$ In marketing goods & services are exchanged for money. the conditions of exchange mechanism are
 - a) Involvement of atleast two parties buyer & seller.
 - b) Both parties must have something viewed valuable by each other.

- c) Both parties free concept
- d) Each party is capable of communication and delivery.

* Marketing Management Philosophies

- 1) Production Concept → This philosophies believe that it is easy to sell the products when they are less expensive and easily available.
Companies try to produce more output and reduce the cost of production but customer not always seeking cheap products.
- 2) Product Concept → This philosophies believe that product must be of higher quality but people prefer quality only when they need or want it.
- 3) Selling Concept → This philosophies believe that sales can be increased by undertaking some aggressive selling and promotional efforts. Concept believe that a seller can sell 'what they have'.
- 4) Marketing Concept → It focus need of customer. Main objective is to satisfy the need of customer optimum profits.

5) Societal concept → A producer or marketer must follow the need & wants of customer but should not ignore the society & environment. Company should not blindly follow the goals of customers satisfaction. This may lead to many social and environmental problems.

* Functions of Marketing

1) Gathering and Analysing market information (Market research):-

Here in the first step. Marketers tries to gathering the information related to market. to conduct market research the marketer performs SWOT analysis

S = strength

W → weakness

O = opportunity

T = Threats.

2) Marketing Planning → After conducting marketing research, the marketer has to plan the steps necessary to achieve marketing objectives under market planning. If company wants to increase sales by 20% then company shall expand its scale, equipment, machineries and hire more employees to achieve the target.

3 Product design and development $\Rightarrow$ Product designing and development means deciding the quality standards, shape and size of the product, type of design, packing, variants.
Companies try to make the product better than competitors.

4 Standardisation and grading $\Rightarrow$ Standardisation means maintaining quality standards to achieve uniformity in the product. It provides quality assurance and consistency to consumers.
Grading means classifying the product on some bases like size & quality.
Marketers can charge high price for high quality product.
Grading is generally used in agriculture products like rice, wheat, pulses etc.

5 Packaging & Labelling $\Rightarrow$ The product is always supplied to customer in the packed form. It refers to designing of packets, wrappers, cartoons etc. attractive packaging leads to increase sale. Hence packaging is considered a 'silent salesman'.

Labelling is the informative part of packaging company can put various information relating to product to related information.

- 6 Branding $\rightarrow$ A company can easily sell their product through a brand name. Company decides a brand name which grabs customer's attention, loyalty & consistency.
- 7 Customer support services $\rightarrow$ customer is the king of market. So, customer satisfaction is must, companies trying to support customer after making sales, providing them a customer service number or portal, technical services etc.
- 8 Pricing of products $\rightarrow$ Price is most crucial elements of marketing as customer is highly price sensitive, a little variation in price may take your customer to competitor's product. Marketer's keeps in mind various factors before deciding price.
- 9 Promotion & selling $\rightarrow$ To increase the sales of product producer goods. It must be promoted. Seller use various techniques to communicate with buyer & seller sales promotion technique to enhance the sale.
- 10 Physical distribution $\rightarrow$ As we know producers are scattered at different places. Marketing managers decide to channel of distribution to distribute goods & services to each and every customer.

11) Transportation $\Rightarrow$ It refers to removal of gap b/w the production place and consumption place. Raw material and finished goods are transferred to different corners of the country. The marketer compares various modes of transportation.

12) Storage & warehousing $\Rightarrow$ Goods are not consumed immediately when they are produced. There is a time gap b/w production and consumption. So, goods must be protected from moisture, insects, rodents, thefts etc. few companies use public warehouse to keep the goods safe and other companies have their own warehouse.

Marketing Mix

Marketing mix are the set of marketing tools that firm uses to pursue its marketing objectives in the target market.

$\div$ Philip Kotler.

Elements of Marketing Mix

- (A) Product
- (B) Price
- (C) Place / Physical distribution
- (D) Promotion

(A) Product Mix

- It refers to all the imp. decisions related to product.
Imp. components of product mix.

- Branding
- Packaging
- Labelling

- Branding -

A brand is the identification of a product. It can be in the form of a name, symbol or design etc.

Brand helps in product differentiation, differential pricing, helps in advertising and it's easy to introduce a new product.

customers also feel superior by using branded product.

It also shows status symbol.

- Before selecting a brand following precautions are made.
(Features & qualities of a good brand name)

- (i) Brand name should be short & simple.
eg. Lux, Rin, Detol etc
- (ii) Brand name should be easy to pronounce. customers feel shy to pronounce the difficult brand name.
- (iii) Brand name should be suggestive in nature.
eg. Ujala suggest brightness, Hajmola suggest good digestion.

(iv) The brand name should be unique & distinctive
eg. Ariel, Tide etc.

(v) Brand name should be selected after considering its meaning in other language.

- Packaging -

It refers to the act of designing and producing the container or wrapper of a product.

Eg → coke comes in bottle, salt comes in packet, oil in tins etc.

Levels of Packaging

- 1) Primary packaging
- 2) Secondary packaging
- 3) Transportation packaging.

Functions | Features | Importance of Packaging

1) Protection → the basic function of packaging is to protect the product from insect, moisture & damage.
Airtight containers and packets are used for chips, biscuits, jams, cola etc.

2) Identification → with the help of packaging the product can be easily identified. Unique shape of coke bottle we can identify it from distance also.

- 3 Convenience $\Rightarrow$ Product in packed form can be handling easily. eg. new pet bottles of cold drink has made it very convenient for middleman to transport it, supply it and store it.
- 4 Promotion $\Rightarrow$ Packaging is considered as a "silent salesman" It silently enhances the sale. It induces the customer to buy the product basically child product.
- 5 Rising standard of health and sanitation $\Rightarrow$ Packed product is considered safe. Less chances of contamination.
- 6 Self-service outlets $\Rightarrow$ The self-service outlets are becoming very popular. In these stores generally products with attractive packing are picked by buyers more quickly.

- Labelling -

- Labelling means putting identification marks on the package. It provides name of the product, name of the manufacturer, contents, Batch no., weight, MRP etc.

Functions / Importance / Features of Labelling

- 1) Describes the product and specify its contents. The most imp. function of labels is to describe the product, contents, batch no., expiry date, MRP etc.

2 Identify the product :- with the help of product labelling we can easily identify the product. You can easily identify a cadbury chocolate from the various chocolates.

3 Help in grading $\Rightarrow$ with the help of label products can be graded in different categories.

Eg. Brooke Bond Red label, Yellow label, Green label

4 Promote Sale $\Rightarrow$ Attractive & colourful labels can increase sales

5 Information Required by law :- Label provides information related to law i.e., legal requirement.

Eg. Batch no., volume, weight, MRP or any statutory warning like no smoking & smoking kills.

$\leftarrow \dots \underline{\text{Price Mix}} \dots \rightarrow$

It refers to imp. decisions related to fixing of price of a commodity.

Thus are following factors kept in mind

1) Cost of the product $\Rightarrow$ The price of product must be able to cover the total cost. Total cost means fixed & variable fixing price is depending upon cost. High cost leads to rise in price & vice versa.

- 2 Extent of competition in Market $\Rightarrow$ If there is no competition. In the market firm can fix its product price high. But when the competition is more than price is fixed keeping in mind the price of its competitors product.
- 3 Customer's demand & utility $\Rightarrow$ If the product is high demand and more utility price ~~would~~ would be more. In this situation customer is ready to pay more. Where as when demand is elastic i.e. more substitutes are available then price has to be brought down.
- 4 Govt. and legal regulations $\Rightarrow$ To protect the interest of general public, govt. has all the right to control the prices of various products and services including essential commodities, drugs, some food items, LPG etc. So, price is fixed accordingly.
- 5 Marketing Method used $\div$ If company is using intensive advertising to promote the sale price would be high & vice versa.
- 6 Pricing objective $\div$ If a firm wants to capture big share in the market then it has to keep its price low so that more people are attracted to purchase the product.

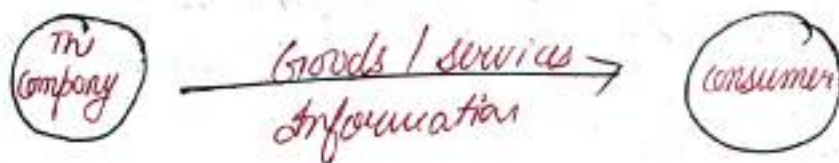
← . . . Place / Physical distribution Mix . . . →

- ⇒ It refers to all the imp. decisions related to physical distribution of goods & services. The decision is related to channel of distribution of physical movement of goods.
- channel of distribution refers to the people or middleman who help in distributing of goods.

Types of distribution level

- 1) Zero level channel / Direct channel ⇒ Here products are directly delivered by producers to customers. Eg. BATA. Sales can be through internet, teleshopping, through mail order house, direct sales by appointing salesman.

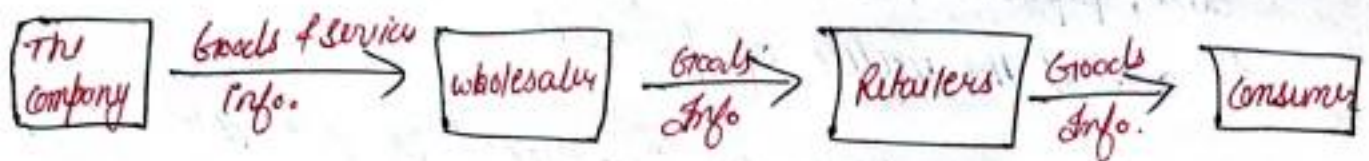
Direct distribution channel



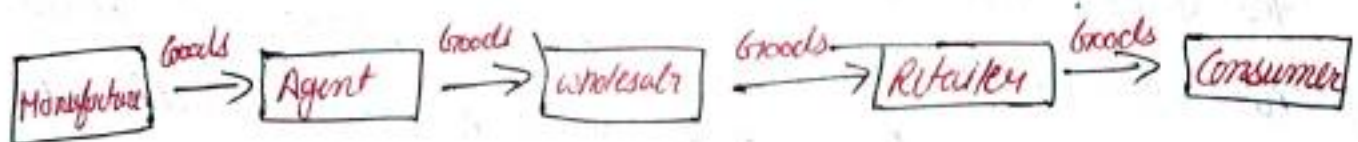
- 2) Indirect channel ⇒ Here only one middleman adopted firm supply the product to retailer and retailer supply goods to customer.
Eg. Cars, expensive watches, Diamond jewellery etc.



3 Two levels channel $\rightarrow$ Here two middle men are involved. Wholesalers to retailer and retailer to consumer. Convenient goods are sold through this channel such as salt, sugar etc.



4 Three levels channels $\rightarrow$ Here three middlemen are involved when product area distributed in deep corners of the country then distributors are appointed area wise. Eg. South India distributor, North India distributor etc.



Decisions in physical distribution | components

1) Order processing $\rightarrow$ It refers to order placement to salesman, order transmission by salesman to company production according to the specifications of consumers and delivery of goods. Late delivery may spoil the goodwill of business.

2 Transportation $\rightarrow$ It means physical movement of goods from one place to another. It is imp. unless the goods are physically made available, the sale can not be completed. modes of transportation are rail, road, air, pipeline, water transport etc.
It added the value of product.

3 Warehousing $\rightarrow$ whatever is produced is not sold off immediately. therefore every company needs to store the finish goods until they are sold in the market. It is necessary because some goods like crops are seasonal in production but are demanded throughout the year. Some goods produced throughout the year but demanded comes in particular season. So, firm must compare the cost involved in using warehouse and benefits which company gets and try to create a balance b/w both.

4 Inventory $\rightarrow$ It refers to maintenance of stock of goods and it supplied whenever is demanded. In maintenance of stock requires cost some time its price gets fluctuated and it must be insured. company should compare the cost and benefits of inventory maintain.

← ... Promotion Mix ... →

It refers to all the decisions related to promotion of sales of products and services.

elements of Promotion mix

- (i) Advertising
- (ii) Sales promotion
- (iii) Personal selling
- (iv) Public relation

- Advertisement can be defined as the "paid form of non-personal presentation and promotion of idea, goods and services by one identified sponsor."

Merits / Benefits / Advantages / Feature of advertising

- 1) Reach → Advertising can reach a large market as through various media of advertising there is benefit of mass reach eg. T.V and Radio.
- 2) choice → A wider media choice is available like print, audio, video and visual which helps to promote the sales.
- 3) Legitimacy → Advertising can be used as a profit proof. It proves, and public believe the company will not give false information of the product.

4) Economy $\Rightarrow$ Advt increase the volume of sales which reduces the cost per unit adv.

5) Enhance the customer satisfaction $\Rightarrow$ customers feel more assured about the quality and feel more comfortable if sponsors claim these benefits in adv.

← Sales Promotion →

It refers to all the promotional techniques which induce the customer to buy a product.

Techniques for customer

- (i) Rebate
- (ii) Discount
- (iii) Refunds
- (iv) Premium or gift or product combination
- (v) Quantity deals
- (vi) Samples
- (vii) Contests
- (viii) Instant draws and assigned gifts
- (ix) Lucky draw
- (x) usable benefits
- (xi) Full finance @ 0%
- (xii) Locked premium
- (xiii) Container premium

← . . . Public Relation . . . →

- Public relation is considered as 5th 'P' of marketing mix.
- It means maintaining relation with public.
- Here public means not only our customers it includes all the customers, employees and all other people in the world eg. without satisfying your employees, suppliers, Retailers, Brokers, you can't increase sales volume.

ways / Methods and tools of public relations

- 1) News → Sometimes companies get involved in such kind of activities or make such policies so, that they get some positive coverage in news.
- 2) Speeches → The speeches given by the leaders of co-operate sectors influence various members of public. This creates a bond with public.
- 3) Events → Events refers to organising press, conferences, multimedia, presentation, matches, stage show etc.
- 4) Public service activities → Businessmen involved in various social activities arrange and participate in various welfare programmes, charity shows, planting trees, make awareness to people etc.

... Personal selling ...

- Personal selling means selling personally. This involves face-to-face interaction between seller and buyer for the purpose of sale.
- The personal selling doesn't mean getting the prospects to desire what seller wants but the concept of personal selling is also based on customer satisfaction.

Features of personal selling

- 1) Personal interaction → Here the buyer and seller have face-to-face interaction. This closeness allows both the parties to observe each other's action closely.
- 2) Two way communication → Here seller give information about the product, at the same time the buyer get a chance to clarify his doubts. It is suitable for sale of complex products where buyer wants to interact with the manufacturer.
- 3) Better response → When seller is personally explaining the utilities of product to the customer then customer do pay some attention and listen to the information.

4 Relationship → when the seller and buyer come together this may improve b/w the customer and seller. Sales persons normally make friendly relations with the customer.

5 Better convincing → Personal selling is most effective form of promotion because with this the sales person can convince the buyer by demonstrating the use of product and making changes in the product according to the need of customer.